ESG **92/100** LEADER

EQUITY NOTE · JEWELLERY · 4 NOVEMBER 2026

Pandora

PNDORA DC · Nasdaq Copenhagen · ISIN DK0060252690 · Branded charms, bracelets and jewellery, sold in over 100 countries

The shares rose 10.9% in a day on a guidance upgrade. A tariff refund flatters the quarter, 2027 is the margin trough, and at DKK 920 the price already sits on our value.

RATING

Hold

Target price	DKK 925
Price (04/11/2026)	DKK 919.80
Potential	+1%
P/E 2026E	13.3x

01 Investment thesis

We initiate on Pandora with a HOLD rating and a target price of DKK 925, 1% above the 4 November close of DKK 919.80. On 4 November Pandora reported third-quarter revenue of DKK 6,694m, organic growth of 6%, and narrowed its 2026 guidance to the upper end: organic growth 2-3% and an EBIT margin of 22.5-23%. It also raised its 2027 margin target to 14-15%. The shares rose 10.9%, from DKK 829.40 to DKK 919.80, close to its 52-week high of DKK 932 (intraday).

Three reasons

- **The top line is better than feared.** All four regions grew in Q3. Like-for-like growth was 4%, with Asia-Pacific at 20% (Japan was the main driver), North

America at 3% and EMEA at 1%. This is the second guidance upgrade in three months.

- **The quarter is cleaner on the top than on the bottom.** The reported EBIT margin of 15.9% includes a one-off of about 370 basis points from a partial refund of US tariffs. Pandora says the underlying margin was broadly flat. October like-for-like growth was only 1%, and the implied fourth quarter is -3% to flat.
- **2027 is a reset year and the price already looks through it.** Management guides a 2027 EBIT margin of 14-15% (15.5-16.5% without one-offs), against about 22.75% in 2026. We model a recovery to 21.5% by 2031, below management's "above 23%" ambition. Our DCF gives DKK 1,014; the comparables are lower, and the blend is DKK 925.

> WHAT WOULD MAKE US WRONG
>
> If silver costs ease or the move to platinum-plated jewellery lets Pandora lift prices without losing volume, margins return to 24% and our bull case gives DKK 1,306, 42% above the price. If the US consumer weakens further and the 2027 margin lands below 14%, our bear case gives DKK 700, 24% below it. We see both as plausible, which is why the rating is Hold.

INDICATOR	VALUE	BASIS
P/E 2026E	13.3x	Our EPS DKK 69.4 (consensus DKK 64.86: 14.2x)
P/E 2027E	21.9x	Our EPS DKK 42.0 (consensus DKK 48.32: 19.0x)
EV / EBITDA (last 12 months)	7.2x	StockAnalysis, EV DKK 80.6bn including leases
EV / Sales	2.3x	Last 12 months
Free cash flow yield	10.3%	Last-12-month free cash flow DKK 6.7bn on market cap DKK 64.9bn
Dividend yield	2.4%	DKK 22 per share paid in March 2026

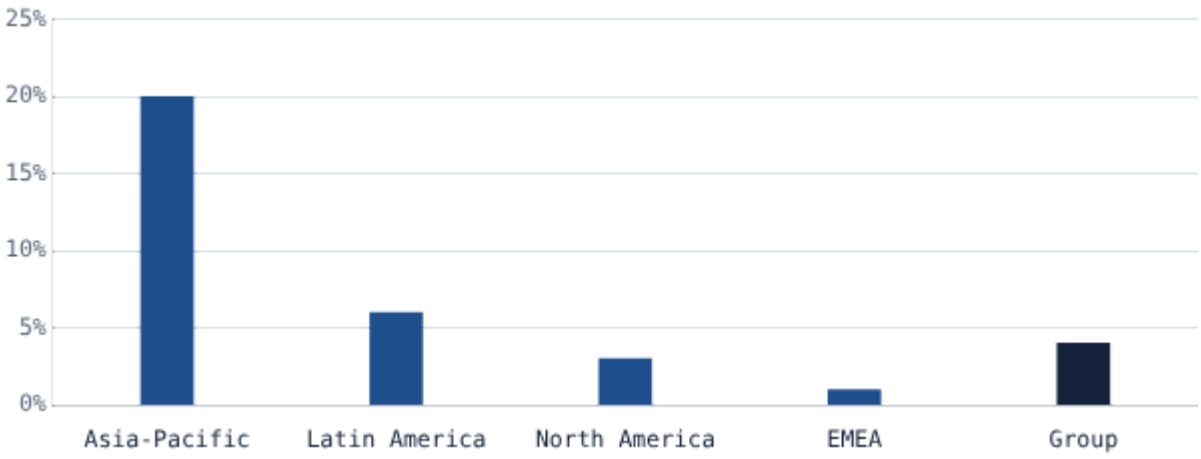
02 The surprise: growth and guidance up, a one-off in the margin

Pandora's third-quarter report on 4 November had three parts. Revenue was DKK 6,694m, up from DKK 6,269m, and organic growth was 6% (4% like-for-like and 2% from network expansion and other items). Roughly DKK 6.6bn was expected by analysts, according to an Investing.com summary of the call. Second, guidance moved to the upper end of the previous range, and the 2027 margin

target rose from "above 12%" to 14-15%. Third, the profit line was helped by a partial refund of US IEEPA tariffs: it added 340 basis points to the gross margin and 370 to the EBIT margin. Pandora describes the underlying margin as broadly flat on last year (see the caution below the table). One broker, RBC, said EBIT was about 5% below consensus on this basis, as reported by WWD.

The shares closed at DKK 829.40 on 3 November and DKK 919.80 on 4 November (+10.9%). Some news pages show +9.5%, a mid-day reading; we use the closing prices from Yahoo Finance and StockAnalysis, which agree. The new close is above the average analyst target of DKK 858. The move also follows a hard year: the stock fell from DKK 867.6 at the end of October 2025 to DKK 453.7 at the end of March 2026, after a sales warning on 9 January, a cautious 2026 outlook on 5 February and the sharp rise in the price of silver, the main raw material. It has since recovered by more than 100%.

Exhibit 1 **Like-for-like growth by region, Q3 2026 (%)**



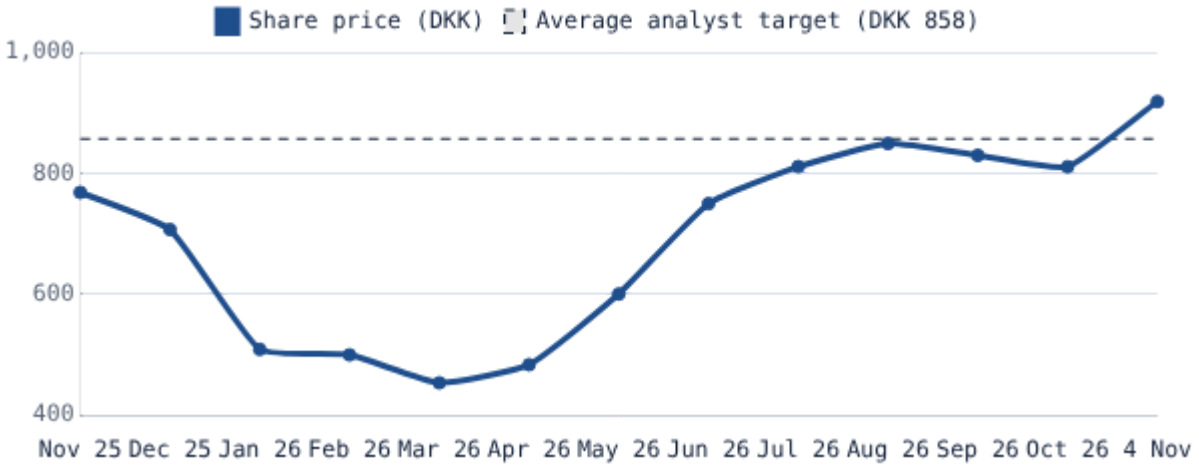
Pandora Q3 2026 release (via GlobeNewswire). Group like-for-like growth was 4%; Japan alone added nearly 2 points, and management expects that to moderate.

DKK M	Q3 2026	Q3 2025	COMMENT
Revenue	**6,694**	**6,269**	**+6% organic; consensus about DKK 6.6bn**
EBIT	1,064	880	Includes the tariff refund
EBIT margin, reported	15.9%	14.0%	+190bp; the refund added about 370bp
EBIT margin, underlying	"broadly flat"	n/a	Company wording; no figure published in the text we could read
Gross margin	83.7%	n/a	Above 80% excluding the refund, up 100bp
2026 organic growth guide	2-3%	0-3%	Narrowed to the upper half
2026 EBIT margin guide	22.5-23%	22-23%	Includes the one-off
2027 EBIT margin target	14-15%	>12%	15.5-16.5% without one-offs

Caution on the margin: subtracting 3.7 points from 15.9% gives about 12.2%, which is below the 14.0% of Q3 2025 and does not match Pandora's

description of a flat underlying margin. We could not reconcile the two (the comparison base may differ), so we rely on the company's wording and do not model an underlying Q3 figure. Sources disagree on the earlier 2026 guide: the company's release and most outlets give 0-3% and 22-23%; one outlet gave -1% to 2% and 21-22%, which was the February guide. We use the company's figures.

Exhibit 2 **Pandora share price, month-end closes (DKK) and average analyst target**



Yahoo Finance, Nasdaq Copenhagen. November 2026 is the close of 4 November. Dashed line: average analyst target of DKK 858 (StockAnalysis, 19 analysts).

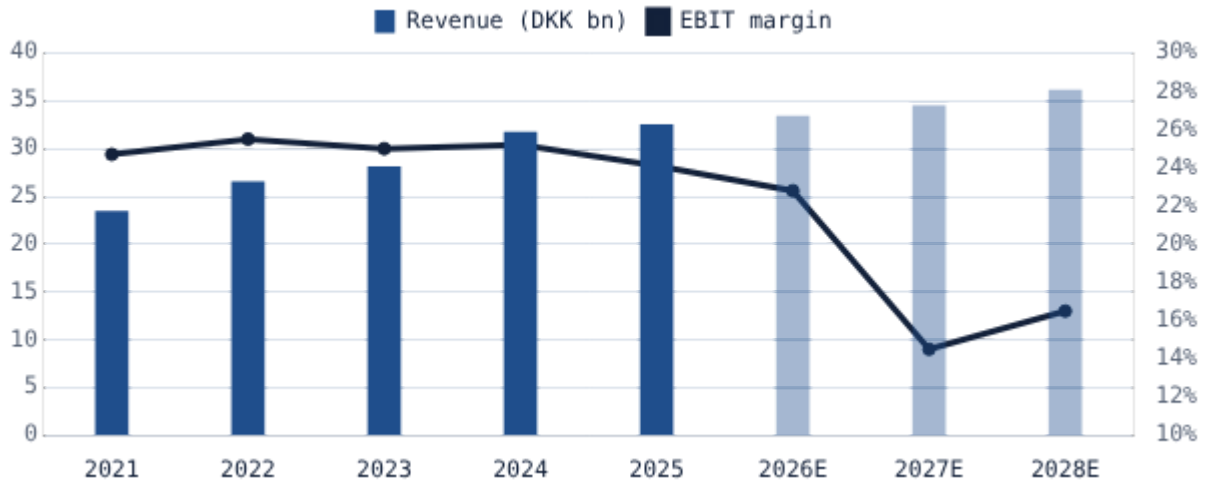
03 History and estimates

Pandora was founded in Copenhagen in 1982 by Per Enevoldsen and his wife Winnie, and listed on Nasdaq Copenhagen in 2010. It sells charms, bracelets, rings and necklaces through more than 7,000 points of sale, of which over 2,800 are concept stores, and employs about 39,000 people. Revenue grew from DKK 23.4bn in 2021 to DKK 32.5bn in 2025 (+39%). Over the same years the EBIT margin stayed between 24% and 25.5% and the dividend rose from DKK 16 to DKK 22. Growth slowed in 2025 to 6% organic (2% like-for-like) as lower-income US shoppers bought less, and the profit warning on 9 January 2026 cut the shares by 10-13% depending on the source. The company has made no large acquisition in this period. Its main spending is capex of about DKK 1.4bn a year on stores and production, and now the change of its main material.

DKK M, EXCEPT PER SHARE	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E
Revenue	**23,394**	**26,463**	**28,136**	**31,680**	**32,549**	**33,350**	**34,517**	**36,071**
Growth	n/a	+13.1%	+6.3%	+12.6%	+2.7%	+2.5%	+3.5%	+4.5%
Gross margin	76.1%	76.3%	78.6%	79.8%	79.3%	n/a	n/a	n/a
EBITDA (EBIT + D&A)	7,697	8,716	9,117	10,327	10,423	10,188	7,697	8,766
EBIT	5,783	6,743	7,038	7,974	7,837	7,587	5,005	5,952
EBIT margin	24.7%	25.5%	25.0%	25.2%	24.1%	22.8%	14.5%	16.5%
Net income	4,160	5,029	4,740	5,227	5,241	4,911	2,968	3,707
EPS (DKK)	41.7	53.7	55.1	64.6	67.9	69.4	42.0	52.5
Dividend per share (DKK)	16.0	16.0	18.0	20.0	22.0	n/a	n/a	n/a
Employees	n/a	n/a	n/a	n/a	n/a	c. 39,000	n/a	n/a

A = reported (StockAnalysis annual statements; EBITDA is EBIT plus depreciation and amortisation from the cash flow statement). StockAnalysis shows 2025 operating income of DKK 7,837m (24.1%); the company reports EBIT of DKK 7,783m (23.9%). We keep one source for the whole row. We could not retrieve audited figures before 2021 and so show five years. E = Puccetti Capital Research estimate. Consensus (StockAnalysis, 4 November): 2026E revenue DKK 33.44bn, EPS DKK 64.86; 2027E DKK 35.03bn and DKK 48.32. Our 2026 EPS is higher because it includes the tariff refund (about DKK 2.7 per share) and uses the new guidance, which consensus may not yet reflect. Underlying 2026E EPS is DKK 66.7.

Exhibit 3 **Revenue (DKK bn) and EBIT margin**



Key events and investments

- **1982 / 2010:** founded in Copenhagen; IPO on Nasdaq Copenhagen.
- **2021-2025:** revenue +39% to DKK 32.5bn; DKK 3.3-5.0bn of share buybacks each year.

- **9 Jan 2026:** sales warning; 2025 organic growth 6% against a 7-8% guide. Deutsche Bank cuts to Hold, target DKK 480.
- **5 Feb 2026:** 2025 results, dividend DKK 22, 2026 guide of -1% to +2% growth and a 21-22% margin; buybacks paused.
- **Feb 2026:** FoundRae sues over the Talisman designs; a judge later refuses to dismiss the case.
- **13 Aug 2026:** Q2: guide raised to 0-3% and 22-23%.
- **4 Nov 2026:** Q3 and a second upgrade. CFO Anders Boyer retires; Paulo Garcia takes over on 1 December.

04 Cash flow and balance sheet

DKK M	2022A	2023A	2024A	2025A
Operating cash flow	4,434	7,384	8,721	7,361
Capex	−838	−1,129	−1,336	−1,449
Free cash flow	**3,596**	**6,255**	**7,385**	**5,912**
Free cash flow / net income	72%	132%	141%	113%
Share buybacks	−3,527	−5,022	−4,013	−4,384
Dividends paid	−1,514	−1,412	−1,471	−1,567
Net debt incl. leases (year-end)	6,794	9,770	11,007	13,710
Net debt / EBITDA	0.8x	1.1x	1.1x	1.3x

Pandora turns more than its net income into free cash flow in most years, but it has paid out more than it earned. Buybacks and dividends came to DKK 6.0bn in 2025 against free cash flow of DKK 5.9bn, so net debt rose every year, from DKK 2.9bn in 2021 to DKK 13.7bn in 2025 and DKK 15.6bn at the third quarter of 2026 (StockAnalysis; this includes about DKK 5.7bn of lease liabilities at the end of 2025). Net debt to EBITDA is now about 1.3-1.4x, in line with the group's past target of about 1.3x.

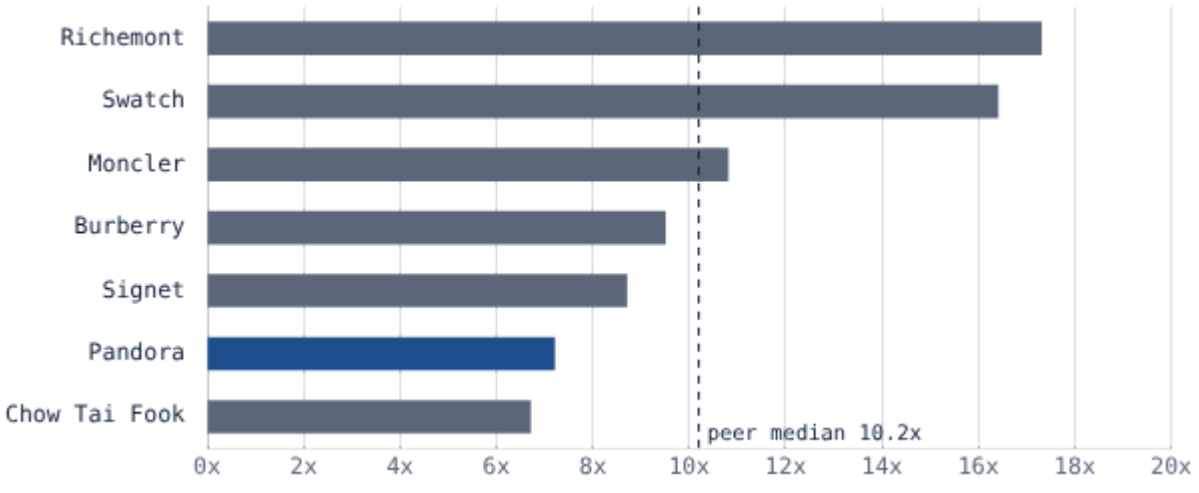
Management paused buybacks in February because of silver and has said they may restart around 2028 on a smaller scale. Net financial expenses are guided to DKK 1,100-1,150m in 2026, up from DKK 1,000-1,050m. Equity is only DKK 5.3bn because of past buybacks, so the return on equity of 131% on data sites says little. Inventory was DKK 4.9bn at the end of 2025, up 10% on 2024, and management listed higher working capital among its risks.

05 Trading comparables

COMPANY	COUNTRY	EV/EBITDA	P/E (FWD)	EV/SALES	DATE
Pandora (data-site basis)	**Denmark**	**7.2x**	**14.7x**	**2.29x**	**04/11**
Richemont	Switzerland	17.3x	23.5x	4.77x	04/11
Swatch Group	Switzerland	16.4x	31.0x	1.31x	04/11
Moncler	Italy	10.8x	18.6x	3.85x	04/11
Burberry	United Kingdom	9.5x	28.1x	1.93x	04/11
Signet Jewelers	United States	8.7x	9.5x	0.81x	04/11
Chow Tai Fook	Hong Kong	6.7x	10.8x	1.41x	04/11
Median (peers)		**10.2x**	**21.0x**	**1.9x**	
Lower quartile (peers)		**8.9x**	**12.7x**	**1.4x**	
Upper quartile (peers)		**15.0x**	**26.9x**	**3.4x**	

StockAnalysis statistics pages, 4 November 2026 (US and Asian peers intraday or delayed): last-twelve-month EV/EBITDA and EV/Sales, consensus forward P/E. Brilliant Earth is left out because its EBITDA is negative. Quartiles by linear interpolation. Peers are in different currencies and have different accounting for leases; ratios are not adjusted.

Exhibit 4 **EV/EBITDA, Pandora against jewellery and luxury peers**



Pandora trades at 7.2x EBITDA, the same as the cheapest peers, Chow Tai Fook and Signet. The Swiss groups at 16-17x are different businesses: Richemont sells high jewellery and watches at high prices and Swatch's multiple is lifted by depressed earnings. Pandora earns a 24% margin, which is high, but it has less pricing power, depends on silver, and its EBITDA will fall by about a quarter in 2027 on our numbers.

We therefore do not give Pandora the peer median. We use the lower quartile (8.9x EBITDA, 12.7x earnings) as the central value and the median as the high end. We apply the multiples to the average of our 2026E underlying and 2027E figures (EBITDA DKK 8.8bn, EPS DKK 54.4), because the market is looking through the trough. This gives DKK 889 on EBITDA and DKK 692 on earnings. We give the comparables 40% of the weight.

06 DCF: Base, Bull and Bear

PARAMETER	VALUE
Risk-free rate (Danish 10-year, latest reading found)	3.10%
Equity risk premium	5.50%
Beta (5-year 1.28, Blume-adjusted)	1.19
Cost of equity	9.6%
Cost of debt after tax (5.0% pre-tax)	3.8%
Weights equity / debt (market, incl. leases)	79.7% / 20.3%
WACC	**8.4%**
Tax rate	24%
D&A / capex plus new leases / working capital	7.8% / 8.2% of revenue / 12% of revenue growth

SCENARIO	GROWTH 2027-30	EBIT MARGIN LONG RUN	G	VALUE
Bear	2% to 3%	18.0%	1.5%	DKK 700
Base	**3.5% to 5%**	**21.5%**	**2.0%**	**DKK 1,024**
Bull	4.5% to 6%	24.0%	2.5%	DKK 1,306

The model runs ten years, from 2027 to 2036, with mid-year discounting to 4 November 2026. The Danish 10-year yield was 3.06% in the latest dated reading we found, with other pages showing up to 3.17%; we use 3.10%. Because leases are in net debt, we count new leases as reinvestment: depreciation and amortisation is 7.8% of revenue and capex plus new leases 8.2%. In the base case revenue is DKK 33.4bn in 2026 and grows 3.5% in 2027, then 4.5-5% to 2030, slowing to 2% by 2036 (DKK 48.2bn). The EBIT margin falls to 14.5% in 2027, the middle of management's 14-15% guide, then recovers to 21.5% by 2032. That is 1.5 points below the "above 23%" mid-term ambition and 3.5 points below the 2022-2025 average of 25%, because we assume Pandora passes on only part of the higher silver cost. Enterprise value is DKK 87.9bn, 56% from the terminal value. After net debt of DKK 15.6bn, equity is DKK 72.3bn, or DKK 1,024

per share. The implied exit multiple is 7.8x EBITDA, close to where the shares trade today. Weighting the scenarios 25/50/25 gives DKK 1,014. Each point of long-run margin is worth roughly DKK 45 per share.

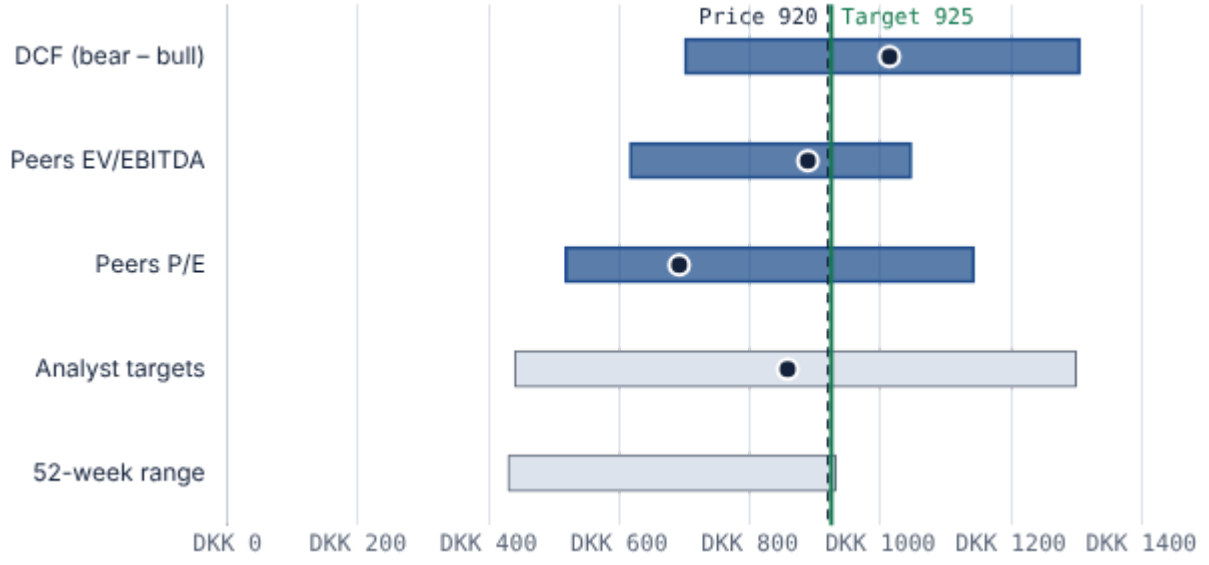
Exhibit 5 **Sensitivity: value per share (DKK) by WACC and terminal growth, base case**

WACC \ G	1.0%	1.5%	2.0%	2.5%	3.0%
7.4%	1,155	1,203	1,261	1,329	1,413
7.9%	1,049	1,088	1,132	1,185	1,248
8.4%	958	989	**1,024**	1,065	1,114
8.9%	879	903	932	964	1,002
9.4%	809	829	852	878	908

WACC rows are 8.45% plus or minus 0.5 and 1.0 points. The price of DKK 919.80 is reached with a WACC of about 9.0% at 2.0% growth. Analysts' average target of DKK 858 needs about 9.4%.

07 Target price and recommendation

Exhibit 6 **Valuation range by method (DKK per share)**



Bars: low to high. Dot: central value. Dashed line: price DKK 919.80. Solid line: target DKK 925.

METHOD	CENTRAL	WEIGHT	LOW	HIGH	POTENTIAL
DCF (scenarios 25/50/25)	DKK 1,014	60%	DKK 700	DKK 1,306	+10%
Peers EV/EBITDA (lowest peer to median)	DKK 889	20%	DKK 616	DKK 1,048	−3%
Peers P/E (lowest peer to median)	DKK 692	20%	DKK 517	DKK 1,144	−25%
Dividend model (memo)	*DKK 406*	*0%*	*n/a*	*n/a*	*−56%*
Target price (weighted, rounded)	**DKK 925**	**100%**			**+1%**

The weighted value is DKK 924, which we round to DKK 925. The dividend model uses a DKK 22 dividend growing 4% a year at a 9.6% cost of equity. It misses badly because the main payout to shareholders was buybacks, which are now paused; we give it no weight. The three weighted methods span DKK 692 to DKK 1,014, so the target is the middle of a wide range, not a precise point.

> RECOMMENDATION · HOLD · TARGET DKK 925
>
> Our target is 8% above the consensus: the 19 analysts tracked by StockAnalysis have an average target of DKK 858 and a median of DKK 850, with 13 at Hold, 5 at Strong Buy and 1 at Sell. The shares are now above that average, and several targets will rise after the report (HSBC was at DKK 890 on 14 October). We differ from the cautious analysts on the long-run margin: they model a lower recovery after 2027. We would turn positive below about DKK 800, or if the February 2027 report shows the 2027 margin tracking the top of the 14-15% range. We would turn negative above DKK 1,050 without a higher margin outlook, or if US like-for-like growth turns negative.

08 Risks and catalysts

Downside risks to our view

- **Silver and the switch to platinum plating.** Silver rose 161% in 2025. Pandora plans to move much of its range to platinum-plated jewellery, with the change starting in 2027 and finishing by 2029 according to management on the call. If customers dislike the change or the cost is higher than planned, our 21.5% margin is too high.
- **Weak US consumer.** Lower-income shoppers cut spending in 2025. North America grew 3% in Q3, but October like-for-like growth was 1%, and the implied fourth quarter is -3% to flat.

- **Quality of earnings.** The tariff refund lifted the quarter. Further refunds could come, but they are not a source of lasting profit.
- **Japan.** Asia-Pacific grew 20% in Q3, with nearly 2 points of group growth from Japan; management expects this to moderate.
- **Litigation and leadership.** The FoundRae copyright case over the Talisman designs continues, and the CFO changes on 1 December.
- **ESG.** Our ESG score is 92/100 (Leader): MSCI AAA, Sustainalytics risk 12.6 (low) and CDP Climate A; the only legal matter we found is the copyright case, which is not an ESG deduction.

Catalysts

- **Full-year 2026 report, early February 2027 (date not yet published):** 2027 guidance and the platinum plan.
- **Q1 2027 report, early May 2027:** first test of the margin reset.
- **New CFO, 1 December 2026:** Paulo Garcia; capital allocation and the buyback restart.
- **Broker revisions:** targets are likely to move up after the report.
- **Silver price:** the main driver of the 2027 margin.

Method and sources. Reported figures from Pandora's Q3 2026 release, StockAnalysis (financial statements, consensus, peers, share count and net debt) and Yahoo Finance (prices). Where sources disagree we use the company's figure and say so. Estimates, EBITDA before 2026 (EBIT plus D&A), the underlying margin and all model outputs are Puccetti Capital Research estimates. Peer data from StockAnalysis at the dates shown, not adjusted for accounting differences. Prices: Nasdaq Copenhagen close of 4 November 2026 via Yahoo Finance. Same-day press reports of the share move differ by intraday timing.

Disclosure. Academic exercise by Mattia Puccetti, BBA student at EDHEC Business School. The author holds no position in Pandora. Not investment advice.

1. Q3 2026 release · Q3 call transcript · Retail Boss · WWD · TradingView
2. 2025 results · platinum shift · January sales warning · silver and Deutsche Bank · financial calendar · company background
3. PNDORA statistics · forecast · financials · price history · Danish 10-year yield
4. Peers: Richemont · Swatch · Moncler · Burberry · Signet · Chow Tai Fook
5. ESG: MSCI AAA and CDP A (Pandora) · Sustainalytics 12.6 · FoundRae lawsuit